

ployment benefits and all that other good stuff people want. Perfectly decent countries like Canada, Belgium, and Ireland have also fallen into the trap and found how hard it is to work their way out.

By 1996, the administration and Congress were still struggling with the problem. It is clear that it would take draconian measures to balance the budget, and neither political party relishes risking the unpopularity of such measures. The restraints would, of course, have to be in place for years. It took decades to create the problem and it can't be fixed overnight. It's like someone who's a hundred pounds overweight. You can't lose that much weight without some suffering.

I worry that at some point we'll go back into an inflationary environment. It's so tempting to pay back debt in cheaper dollars. That's the only solution politicians can think of, because every other solution means they'd be diselected. Inflation is more palatable than unemployment. It is hard for any politician to resist the temptation to give out money from the Treasury without offsetting it by increasing taxes. That's the way you stay popular—and create an intolerable long-term situation.

In short, classical theory says that a massive federal deficit and a massive balance-of-trade deficit are going to work against the currency. With such a prospect, I want to own foreign as well as U.S. securities.

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Don't keep all your assets in one currency.

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The second argument in favor of diversifying into foreign markets is that in many countries where U.S. companies do business they are always going to be perceived as, and treated as, outsiders. Out-of-town money is welcome, but the locals take a delight in